

for fear of otherwise losing control of the property. This would involve an agreement to pay such higher rental (*i.e.*, interest rate) as may be necessary to permit extension or refunding of the bond maturity. (However, traffic-density data in private hands in 1939 indicated that this mileage was not a valuable part of the Southern Railway System.)

3. Possible payment on grounds of convenience, etc. If the Southern Railway is prosperous in 1946, it may take care of this maturity merely to avoid insolvency for part of the system. There is also the technical possibility that by the terms of its own “blanket” Development and General Mortgage (under which sufficient bonds are reserved to refund the Georgia Midland 3s at maturity), it may be considered to have an obligation to provide for payment of these bonds in 1946. (Here also, as in the two previous paragraphs, the bondholder in 1939 could not be too confident of the strength of his position).

The foregoing discussion will perhaps adequately explain the low price of the Georgia Midland 3s at the beginning of 1939. It is interesting to note, as an element of security analysis, that the key fact in this situation—the unprofitable character of the mileage covered—was not a matter of public record but required a check into supplementary sources of information.

Guaranteed Issues Frequently Undervalued. The Tobacco Products example illustrates the fairly frequent undervaluation of guaranteed or quasi-guaranteed issues as compared with other securities of the guarantor enterprise. A well-known instance was that of San Antonio and Aransas Pass Railway Company First 4s, due 1943, guaranteed as to principal and interest by Southern Pacific Company. Although these enjoyed a mortgage security in addition to the guaranty they regularly sold at prices yielding higher returns than did the unsecured obligations of the Southern Pacific.³

³ A. S. Dewing, in his *A Study of Corporation Securities*, pp. 293–297, New York, 1934, makes the following statements with respect to guaranteed bonds:

“There may be, however, instances in which a holding or controlling corporation will maintain the interest or rental on an unprofitable subsidiary’s bonds for strategic reasons.” (Here follow examples, including details concerning San Antonio and Aransas Pass First 4s, due 1943, showing failure of the issuer to earn its charges in most years.) “Yet its [San Antonio and Aransas Pass Railway’s] importance to the Southern Pacific Company’s lines is such that the guarantor company very wisely meets the bond interest deficit... In spite of such instances, the rule holds good almost always that the strength of a guaranteed bond is no greater than that of the corporation issuing it and the earning capacity of the property directly covered by it.”